

		The Demurrer is sustained with 14 days leave to amend. However, leave to amend is granted only as to the specific causes of action to which the Demurrer was sustained. Leave to amend is NOT granted to alter/amend other portions of the complaint or to add/amend other causes of action. If plaintiff seeks leave to amend, such must be done pursuant to <i>CCP §473</i> and the appropriate rules. <i>Counsel for the defendants is ordered to give notice of this ruling.</i>
10.	Farkas v. Smith 23-1324888	Plaintiffs/Cross-Defendants Joel Farkas ("Farkas"), Gateway American Resources, LLC ("Gateway"), and Kings Co. LLC ("Kings" individually; "Plaintiffs" all together), and cross-defendant and Latitude Accounting LLC's ("Latitude" individually; "CD" together with Plaintiffs) Demurrer to defendant/cross-complainant Jennifer Blair Smith's ("Defendant") Second Amended Cross-Complaint ("SAXC") is SUSTAINED. A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) The issue is the sufficiency of the pleading, not the truth of the facts alleged. Thus, no matter how unlikely or improbable, the allegations made must be accepted as true for the purpose of ruling on the demurrer. (<i>Del E. Webb Corporation v. Structural Materials Co.</i> (1981) 123 Cal.App.3d 593, 604.) Absent court orders or other items subject to judicial notice, or items attached as exhibits to the complaint, the court may not consider the contents of pleadings or other exhibits when ruling on a demurrer. (<i>Day v. Sharp</i> (1975) 50 Cal.3d 904, 914; <i>Sosinsky v. Grant</i> (1992) 6 Cal.App.4th 1746, 1749.) "In our examination of the complaint we are guided by the well settled principles governing the testing of its sufficiency by demurrer: A demurrer admits all material and issuable facts properly pleaded. [Citations omitted.] However, it does not admit contentions, deductions or conclusions of fact or law alleged therein. [Citations omitted.]" (<i>Daar v. Yellow Cab Co.</i> (1967) 67 Cal.2d 666, 672.) Defendant demurs to all three causes of action ("COA") on the bases that they fail to state sufficient facts to constitute a COA (<i>Civ. Proc. Code § 430.10(e)</i>).

CD demur to causes of action ("COA") Nos. 1, 2, and 6 of the SAXC on the basis they fail to state sufficient facts to constitute COA. (*Civ. Proc. Code* § 430.10(e).)

1) *COA No. 1 – Violation of Federal Racketeer Influenced And Corrupt Organizations Act*

"RICO renders criminally and civilly liable "any person" who uses or invests income derived "from a pattern of racketeering activity" to acquire an interest in or to operate an enterprise engaged in interstate commerce, § 1962(a); who acquires or maintains an interest in or control of such an enterprise "through a pattern of racketeering activity," § 1962(b); who, being employed by or associated with such an enterprise, conducts or participates in the conduct of its affairs "through a pattern of racketeering activity," § 1962(c); or, finally, who conspires to violate the first three subsections of § 1962, § 1962(d)." (*H.J. Inc. v. Nw. Bell Tel. Co.* (1989) 492 U.S. 229, 232–33.)

"RICO defines the term "enterprise" to include (1) "any individual, partnership, corporation, association, or other legal entity," and (2) "any union or group of individuals associated in fact although not a legal entity." 18 U.S.C. § 1961(4). At issue in the present appeal are the minimum requirements for an associated-in-fact enterprise. The Supreme Court has held that a group of individuals associated in fact for wholly unlawful ends could constitute an enterprise for purposes of RICO. [Citation.] According to the Court, establishing the existence of an associated-in-fact enterprise requires proof (1) of an ongoing organization, formal or informal, and (2) that the various associates function as a continuing unit." (*Chang v. Chen*, 80 F.3d 1293, 1297 (9th Cir. 1996), overruled by *Odom v. Microsoft Corp.*, 486 F.3d 541 (9th Cir. 2007).)

" ` "To support a claim under RICO, it is not enough that the defendant engaged in a racketeering activity; rather, the plaintiff must also establish a pattern, of racketeering activity. In this respect RICO is vague, stating only that a pattern requires at least two predicate acts of racketeering activity. (18 U.S.C. § 1961(5).) In common parlance two of anything rarely forms a pattern, and it appears clear that Congress intended to require a minimum of two acts but not to provide

that two acts are necessarily sufficient. [Citations], the court eschewed rigid formulae and held that the determination of a pattern of racketeering activity requires case-specific analysis of the facts with emphasis on the relationship and continuity of the predicate acts. In this analysis, "relationship" refers to the predicate acts' relationship with each other with regard to whether they " 'have the same or similar purposes, results, participants, victims, or methods of commission, or otherwise are interrelated by distinguishing characteristics and are not isolated events.' " (*Gervase v. Superior Ct.* (1995) 31 Cal. App. 4th 1218, 1232.)

Defendant has sufficiently alleged facts supporting an enterprise between the four CD, John C. Price, and RubinBrown LLP. Although Farkas is alleged to be a member-manager of both Gateway and Kings, those two entities are alleged to be separate from one another and not employees of one another that might otherwise prohibit an enterprise. Additionally, Latitude, Price, and RubinBrown are alleged to be distinctive individual entities which would support an enterprise. (*Living Designs, Inc. v. E.I. Dupont de Nemours & Co.*, 431 F.3d 353, 361–62 (9th Cir. 2005).)

Defendant has alleged Farkas, Gateway, and Kings participated in both mail and wire fraud, which are covered under RICO statutes. (*18 USC § 1341*, *18 USC § 1343*.) For both mail and wire fraud, the scheme must be undertaken with the intent of either obtaining money or property from the victim or defrauding the victim. (*Id.*) Defendant has not alleged any scheme by CD to obtain any money or property from Defendant. This leaves the element of an attempt to defraud Defendant. To defraud is, "[t]o cause injury or loss to (a person or organization) by deceit." (DEFRAUD, *Black's Law Dictionary* (11th ed. 2019).)

CD argue Defendant's knowledge of the allegedly false 1099-NEC preclude fraud as an element of fraud is deceit. However, while Defendant would have known the 1099-NEC were false and would not have been deceived by them, the IRS and FTB would not necessarily know the 1099-NEC were fraudulent. It is unclear from the arguments, cases, and statutes if fraudulent reporting that causes damage to another supports "defrauding" third-party. Defendant cites to *Lewis v. Superior Court* (1990) 217 Cal. App 3d 379 (" *Lewis* ") for the term "defraud" to mean injure someone in the pecuniary or

property rights. (*Id.*, at 394.) The definition in *Lewis* came from statutes involving forgery and obtaining money or property by means of false or fraudulent pretenses, representations, or promises. The second case, *People v. Isom* 17 (2015) 240 Cal. App. 4th 1146, merely cites to *Lewis*. All of the cases cited are in essence attempts by one party to take something from another party for the benefit/use of the first party. None of them involve making false reports to an authority entity for the purposes of causing injury.

Defendant is also required to allege an ongoing pattern, or continuity. There are two types of continuity, open-ended and closed-ended. "[O]pen-ended continuity exists where "the racketeering acts themselves include a specific threat of repetition extending indefinitely into the future," or "where it is shown that the predicates are a regular way of conducting defendant's ongoing legitimate business." (*Pier Connection, Inc. v. Lakhani*, 907 F. Supp. 72, 75–76 (S.D.N.Y. 1995)(*"Pier"*)). Defendant has not alleged open-ended continuity as the 1099-NEC were only emailed once and then mailed the following day to Defendant. Defendant has not alleged the actions of CD are ongoing or threaten to extend indefinitely.

"Closed-ended continuity may be demonstrated by showing a "series of related predicates extending over a substantial period of time." [Citation.] The *H.J. Inc.* Court did not define "substantial," beyond stating that "[p]redicate acts extending over a few weeks or months and threatening no future criminal conduct do not satisfy this requirement." *Id.* In working with the "few weeks or months" standard, the Second Circuit has contrasted racketeering activity that is inherently unlawful (such as murder, obstruction of justice, narcotics trafficking and embezzlement) with racketeering activity "in furtherance of endeavors that are not inherently unlawful, such as frauds in the sale of property." [Citation.] With respect to the latter, "the courts generally have found no threat of continuing criminal activity arising from conduct that extended over [periods] even longer" than a few weeks or months. [Citation.]" (*Pier, supra*, 907 F. Supp. at 77.) "[A] scheme's duration alone is not dispositive. Rather, the court must examine the "overall context in which the acts took place." [Citation.] This context includes the number of victims of the scheme and the number and extent of the perpetrators' goals. Numerous cases reveal that district courts in this Circuit, when deciding whether plaintiffs have pled a closed-ended continuous pattern under RICO, routinely consider such contextual issues as

		well as the duration of a scheme.” (<i>Id.</i>, at 78.) Courts have found that in cases where there is only one victim, and the duration is short that the complaining party failed to establish close-ended continuity. (<i>Id.</i>) Here, it appears the acts of sending the 1099-NEC occurred over two-days on 05/03/23 and 05/04/23. (FAXC ¶ 40.) Two-days would not be sufficient to support close-ended continuity. Although Defendant alleges Farkas’s multiple statements to Defendant that Farkas would take of Defendant financially over a lengthy period, those statements even if done over text/email do not support mail/wire fraud as there are no allegations/correlation those statements were meant to harm Defendant by way of the report to the IRS/FTB. Additionally, the filing of the present lawsuit and amended complaint and the making of a police report do not support an attempt to defraud Defendant by mail/wire. Finally, Defendant is the only alleged victim of the acts. As alleged, those are separate acts that do not constitute a close-ended continuity. “[A] scheme's duration alone is not dispositive. Rather, the court must examine the “overall context in which the acts took place.” [Citation.] This context includes the number of victims of the scheme and the number and extent of the perpetrators' goals. Numerous cases reveal that district courts in this Circuit, when deciding whether plaintiffs have pled a closed-ended continuous pattern under RICO, routinely consider such contextual issues as well as the duration of a scheme.” (<i>Id.</i>, at 78.) Courts have found that in cases where there is only one victim, and the duration is short that the complaining party failed to establish close-ended continuity. (<i>Id.</i>) Again, Defendant has alleged a very short duration of two-days for the mail and wire fraud and that Defendant was the only victim of the alleged RICO acts. None of the “new” acts alleged such as Farkas’s promises to financially take care of Defendant, the filing of the complaints in this action, or the filing of a police report, even though done over a lengthier period than the two-days when the 1099-NEC were sent support the elements of wire/mail fraud. Defendant has failed to plead sufficient facts to support this COA. The Demurrer is SUSTAINED with one final leave to amend this COA. 2) COA No. 2 – Civil Extortion
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"(a) Every person who, with intent to extort property or other consideration from another, sends or delivers to any person any letter or other writing, whether subscribed or not, expressing or implying, or adapted to imply, any threat such as is specified in Section 519 is punishable in the same manner as if such property or other consideration were actually obtained by means of such threat." (*Penal Code § 523.*)

"Extortion has been characterized as a paradoxical crime in that it criminalizes the making of threats that, in and of themselves, may not be illegal. '[I]n many blackmail cases the threat is to do something in itself perfectly legal, but that threat nevertheless becomes illegal when coupled with a demand for money.' " (*Stenehjem v. Sarren* (2014) 226 Cal. App. 4th 1405, 1418.)

The only threat alleged by Defendant was a verbal threat Farkas made to sue Defendant and "take her down." (SAXC ¶ 53.) Under *Penal Code § 523*, the intent to extort must be made in a letter or other writing. As Farkas's alleged threat was verbal, it does not qualify as civil extortion under the code.

Defendant next alleges CD allegedly fraudulently prepared and sent the 1099-NEC. (SAXC ¶¶ 53.) However, there are no allegations of any threat in exchange for property in the 1099-NEC forms. There are no allegations CD attempted to extort property or other consideration from Defendant. Any monies or property Defendant might owe the IRS and FTB as the result of the 1099-NEC would not be sent to CD, but to the respective tax boards.

Defendant cited to the matter of *Tran v. Nguyen* (2023) 97 Cal. App.5th 523, to support the opposition, however that case noted, "[e]xtortion is the obtaining of property or other consideration from another. . ." (*Id.*, at 529.) Again, Defendant has alleged nothing CD attempted to obtain from Defendant.

Defendant has failed to plead sufficient facts to support this COA. The Demurrer is **SUSTAINED** with one final leave to amend this COA.

3) COA No. 6 – Negligent Misrepresentation

"The elements of a negligent misrepresentation are '(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact

		misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.' [Citation.] Negligent misrepresentation does not require knowledge of falsity" (<i>Borman v. Brown</i> (2021) 59 Cal. App. 5th 1048, 1060.) " 'Where the defendant makes false statements, honestly believing that they are true, but without reasonable ground for such belief, he may be liable for negligent misrepresentation, a form of deceit.' [Citations.]" [Citation.] Whether a defendant had reasonable ground for believing his or her false statement to be true is ordinarily a question of fact." (<i>Quality Wash Grp. V, Ltd. v. Hallak</i> (1996) 50 Cal. App. 4th 1687, 1696.) Defendant alleged Latitude provided accounting services for Gateway and Kings and that on 05/03/23, Latitude sent the 1099-NEC to Defendant, the IRS, and the FTB. (SAXC ¶¶ 83-85.) The 1099-NEC reported non-employee compensation of \$1,280,324.80 by Gateway LLC and \$293,451.89 by Kings. Defendant never was employed by or provided services to Gateway or Kings and neither Gateway nor Kings had reasonable grounds to believe Defendant was the recipient of non-employee compensation. (SAXC ¶¶ 85-86.) On 06/07/23, Defendant notified Latitude that she had not provided services to Gateway or Kings. (SAXC ¶¶ 87-88.) Defendant alleged Latitude had no idea why the 1099-NEC was issued and therefore had no reasonable grounds to believe the 1099-NEC was proper as evidenced by an email exchange attached to the SAXC. (SAXC ¶¶ 88-89.) Defendant further alleged she justifiably relied upon the representations in the two 1099-NEC (despite knowing they were allegedly false). (SAXC ¶ 91.) Plaintiff alleges she was damaged by the refusal to retract the 1099-NEC and in costs incurred related to the filing. (SAXC ¶ 92.) Defendant contends Latitude made the representations with the intention of inducing Defendant to act on them, however Defendant made no allegations as to what act she performed based on the misrepresentation, or that she justifiably relied upon the misrepresentations as Defendant knew the 1099-NEC were fake upon receipt. Elements three and four have not been sufficiently pled. The new allegations do not support the required elements of this COA. Defendant has failed to plead sufficient facts to support this COA. The Demurrer is SUSTAINED with one final leave to amend this COA.
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		Defendant is granted leave to file a final amended cross-complaint within 10-days of the hearing. <i>CD to give notice.</i>
11.	Gooding v. Houpt 22-1271459	The Motion for Summary Judgment, or in the alternative Summary Adjudication, filed by Defendant Harbor View Hills Community Association ("Defendant" or "HOA") is DENIED. A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. (<i>CCP § 437c(p)(2)</i>; <i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850-51.) If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. (<i>Binder v. Aetna Life Ins. Co.</i> (1999) 75 Cal.App.4th 832, 840.) If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. (<i>CCP §437c(p)(2)</i>; <i>Aguilar</i>, 25 Cal.4th at 850-51.) Issue 1: Third Cause of Action- Breach of Governing Documents The claim for breach of the governing documents is a breach of contract claim. (See <i>Harvey v. The Landing Homeowners Assn.</i> (2008) 162 Cal. App. 4th 809, 817.) To the extent the law or governing documents conflict, <i>Section 4205</i> of the Davis-Stirling Common Interest Development Act (<i>Civ. Code, §§ 4000 et seq.</i>; "Davis-Stirling Act") sets forth the weight of authority from greatest to least: (1) law, (2) the CC&Rs, (3) the articles of incorporation, (4) the bylaws, and (5) the operating rules. (<i>Civ. Code, §§ 4135, 4205.</i>) Plaintiffs allege the governing documents were breached "by: f. failing to enforce the Governing Documents against Houpt; g. failing to enjoin Houpt's wrongful conduct; h. selectively and disparately enforcing the Governing Documents in violation of its obligations under the Governing Documents and the Davis-Stirling Act including but not limited to its obligation to follow the Governing Documents for the benefit of each owner of the properties described in the Governing Documents;